

EQUITY INVESTING

DIRECT

INDIRECT

ACTIVE

PASSIVE



In mutual funds, we saw that the fund has skilled experts and they carry out research, and based on their skill and asset selection, the fund's returns are determined. It is expected that the fund manager and the team will outperform the category by picking out stocks or bonds that are better than others and to do so, they incur costs in the form of the expense ratio discussed above. Here, the fund manager actively picks stocks and the weight is assigned to each stock in the portfolio. This is called active management.



The second way to manage money is passive. Here, fund managers do not research or actively study companies. They do not make the decisions of the stocks or bonds to be picked and the weight to be assigned to each one of them. Rather, they pick an index and invest in the same stocks and the same weight as the index.

For instance, if they follow Nifty, which has 11% weightage to Reliance, 10% to HDFC Bank, so they will invest 11% of their entire AUM in Reliance and 10% in HDFC Bank and so on. They will replicate the returns obtained by Nifty as it is. The objective is to minimize the costs incurred to make active investment decisions. There are a variety of indices and they can follow any one of them. They can also follow commodities. They can invest the entire amount in Gold and a buyer can buy a gold ETF instead of gold without any fear of theft. They can invest as per Nifty50, Nifty100, FMCG Index, BSE Small-Cap, and so on. So, whatever the index returns will be our return as well.